# Support & Resistance

## A beginner's guide — Flow.42 Trading Suite

### 0. How VolImbalance builds a Support / Resistance line (and why)

Before we talk about how a level behaves, it helps to understand where it comes from. In Flow.42, S/R lines are **measured from real order flow**, not drawn by hand.

**Step 1 — Find a single imbalance (the raw building block).** For every price inside a candle, VolImbalance compares the **aggressive buy volume** against the **aggressive sell volume** on the *diagonal* (one tick offset — the classic FootPrint view). If one side is much larger than the other — by default at least **3×** ( `ImbalanceRatio` ) — that price printed an **imbalance**: one side clearly overpowered the other there.

- A **buy-dominant** imbalance is a **Support seed** (aggressive buyers were in control).
- A **sell-dominant** imbalance is a **Resistance seed** (aggressive sellers were in control).

**Step 2 — Group imbalances into a cluster.** A single imbalance is just noise. VolImbalance looks for imbalances **of the same type** that **stack up at nearby prices** — within a small tolerance in ticks ( `ClusterPriceTolerance` ). When at least a minimum number of them line up in a tight price band (by default **3**, `MinImbalancesInCluster` ), they are combined into one **cluster**.

**Step 3 — Turn the cluster into an S/R zone.** The cluster's price range — from its lowest to its highest imbalance — becomes the **zone (band)** you see on the chart:

- A cluster of **buy-dominant** imbalances → **Support** (drawn from its bottom edge, `PriceMin` ).
- A cluster of **sell-dominant** imbalances → **Resistance** (drawn from its top edge, `PriceMax` ).

The **more volume** and the **more imbalances** stacked in the cluster, the **stronger** the zone.

**Why it creates the line.** A stack of repeated, aggressive one-sided absorption at nearly the same price is hard evidence that one side of the market **keeps stepping in and defending** that area. That is *exactly* what a support or resistance is — only here it is proven by **traded volume**, not guessed from the shape of the candles. That is why a Flow.42 level is a **band with height**, not a thin line: it shows the whole price area where the defense happened.

## 1. What is a Support / Resistance line?

A **Support** line is a price level where buyers have repeatedly stepped in and stopped the price from falling further. Think of it as a **floor**.

A **Resistance** line is a price level where sellers have repeatedly stepped in and stopped the price from rising further. Think of it as a **ceiling**.

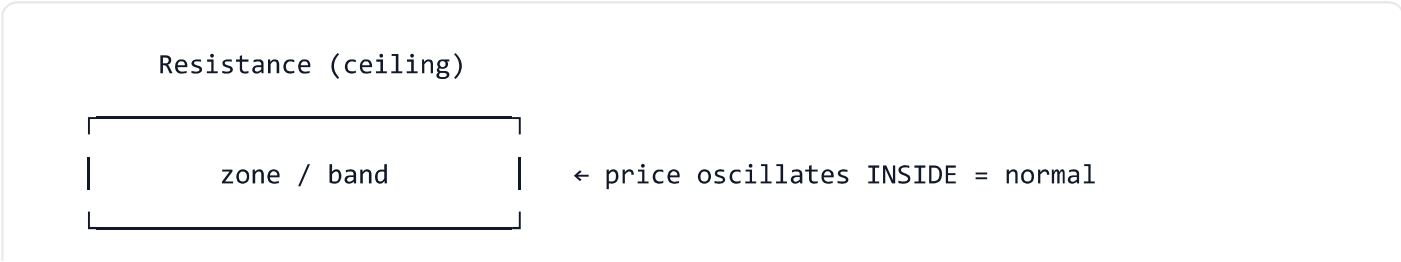
In Flow.42 these levels are not drawn by guessing — they are built from **real order-flow absorption**: places where a large amount of buying or selling volume was "absorbed" at one price. That is why the zone has a small height (a band), not just a single line.

## 2. What is a "Stop Run"?

Many traders place their **stop-loss orders** just beyond an obvious level:

- Buyers who bought at support put their stop **just below** the support.
- Sellers who sold at resistance put their stop **just above** the resistance.

Large players know this. Sometimes price is pushed **just past the level for a moment** to **trigger those stops** — this floods the market with forced orders — and then price snaps **right back** into the zone. This quick poke-and-reverse is called a **stop run** (or *liquidity grab*, *stop hunt*).



```
                ↑ wick pokes above for a second, then closes back inside
                  = STOP RUN, not a real break
```

## 3. The key lesson: a wick is not a break

This is the most important idea for a beginner:

> **A level is only truly broken when a candle CLOSES beyond it — not when a wick touches it.**

- A **wick** (the thin line above/below the candle body) that pokes through the level and is **rejected** (the candle closes back inside) is actually a sign of **strength**. The level was tested and it **held**.
- A **close** beyond the level means the market accepted the new price. *That* is a real break.

So counter-intuitively: a violent spike that immediately reverses is often the moment a support or resistance is at its **strongest**, not its weakest.

## 4. How Flow.42 handles this

Flow.42 uses **close-based invalidation**. A Support/Resistance zone stays active — and is still drawn — even if price briefly wicks through it. The zone is only marked as *broken* (faded out, with a break-marker) when a **completed candle closes** beyond the zone by more than the tolerance you configured.

This means stop runs will **not** delete your levels. You keep your context, and you can watch whether the level holds or genuinely gives way on a close.

## 5. How to trade around it (basics)

- **Don't panic on the wick.** Wait for the candle to **close**.
- A rejected wick back into a support can be a **long** cue; back into a resistance, a **short** cue.
- A clean **close** beyond the zone is your signal that the level has failed — respect it.

- Always combine this with your own risk management; no single level is a guarantee.

*Flow.42 — educational material for beginners. Not financial advice.*